IRAN, ISLAMIC REPUBLIC

Table 1	2021
Population, million	85.0
GDP, current US$ billion	359.7
GDP per capita, current US$	4230.5
Upper middle-income poverty rate ($6.85)[a]	27.6
Gini index[a]	42.0
School enrollment, primary (% gross)[b]	109.7
Life expectancy at birth, years[b]	76.9
Total GHG emissions (mtCO2e)	884.3

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2019), 2017 PPPs.
b/ Most recent WDI value (2020).

Iran's economic recovery continues to be driven by services and the oil sector. While higher oil prices have increased oil revenues and eased fiscal pressures, higher global commodity prices overall have also increased the import bill and spurred inflation. Growth in the medium term is projected to be modest due to inflationary pressures and continued sanctions. Intensified climate challenges and continued high inflation pose risks to the outlook. The growth outlook would be significantly stronger if economic sanctions were to be removed.

Key conditions and challenges

External shocks, including sanctions and commodity price volatility, caused a decade-long stagnation that ended in 2019/20.[1] The large contraction in oil exports following the re-imposition of US sanctions in 2018 placed significant pressure on government finances and drove inflation to over 40 percent for four consecutive years. Sustained high inflation led to a substantial reduction in households' purchasing power. At the same time, job creation was insufficient to absorb the large pool of young and educated entrants to the labor market.

Growth has rebounded over the past two years, supported by a recovery in services post-pandemic, increased oil sector activity, and accommodating policy action. Economic activity in Iran has also adjusted to sanctions, including through exchange rate depreciation which helped domestically produced tradable goods to become price competitive internationally.The decline in oil exports also prompted additional processing of crude oil and hydrocarbons that was then exported as petrochemicals. Under sanctions, trade has pivoted further towards neighboring countries and China, and bilateral currencies, barter, and other indirect payment channels are increasingly used to settle international transactions as most assets abroad have become inaccessible due to sanctions. The government expanded cash transfers and subsidies to mitigate the impact of high inflation on welfare, but this also added to fiscal pressures as most interventions were not sufficiently targeted.

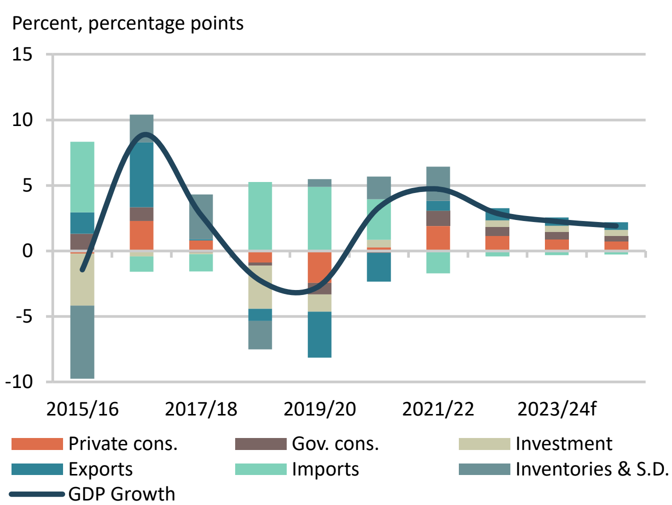
Iran also faces intensified climate change challenges, including severe droughts, which are restricting agricultural production at a time when global food prices and food insecurity are on the rise. While higher oil prices, due to a recovery in global demand and the war in Ukraine, have raised oil export revenues, higher prices of other commodities, including food items, have significantly increased the import bill. This increase poses additional strain on government finances as direct food price subsidies stood at 5 percent of GDP even before the recent price surge.

1/ The Iranian calendar year starts on March 21 of every year and ends on March 20 of the following year.

Recent developments

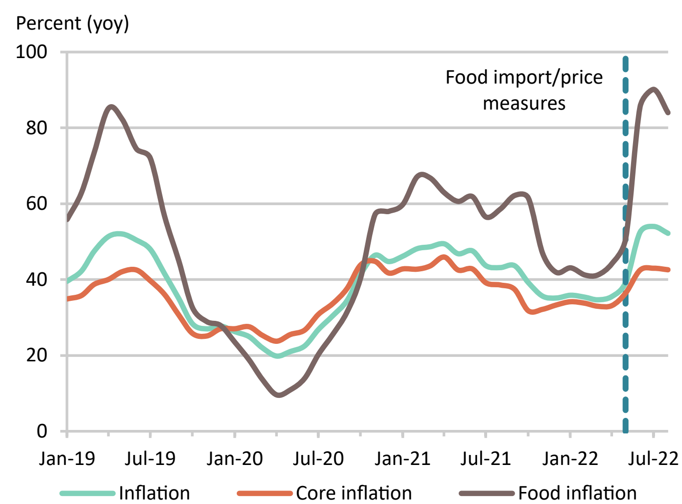
The economy continued to rebound in 2021/22, growing by 4.4 percent at constant factor prices. Non-oil GDP growth of 3.9 percent was driven by growth in services (6.5 percent), as economic activity returned to almost pre-pandemic levels. The recovery in global demand increased oil GDP by 10 percent. Non-oil industrial activity grew modestly by 1.1 percent, impacted by high input costs, energy outages, and low domestic purchasing power. Agriculture production contracted by 2.6 percent due to severe

FIGURE 1 Islamic Republic of Iran / Real GDP growth and demand-side contributions to real GDP growth



Sources: CBI and World Bank staff calculations.

FIGURE 2 Islamic Republic of Iran / Consumer price inflation



Sources: SCI and World Bank staff calculations.

droughts. On the demand side, government consumption expanded by 8.3 percent owing to higher oil proceeds, and private consumption grew by 3.9 percent. A significant expansion in imports (24.1 percent) outweighed a 5.2 percent increase in exports, and investment stagnated.

Despite the recent GDP growth, employment remained below its pre-pandemic level with fewer women and youth in the labor market. The reduction in the labor force participation rate by 3.8 percentage points compared to the pre-pandemic rate Q1-19/20 (April to June 2019) lowered the unemployment rate to 9.2 percent in Q1-22/23.

While improved oil revenues helped ease fiscal pressures in 2021/22, the fiscal deficit remained significant in 2022/23, despite a less accommodative budget law. In the first four months of 2022/23 (April to July 2022), oil revenues grew by over 400 percent, albeit from a low base. Despite this strong increase, oil revenue reached only 61 percent of the target in the budget and the realization of total tax revenues was only 81 percent; this highlights the government's additional financing needs. A higher wage bill as well as adjustments to pensions and other transfers to mitigate the effect of high inflation are further weighing on the budget deficit.

In May 2022, the government responded to the recent surge in food import costs by eliminated subsidized exchange rates for wheat imports, raised the administered prices of other staples, and provided additional cash transfers. These measures added to existing inflationary pressures and drove overall consumer prices and food prices to surge by 12.2 and 26.9 percent (MoM), respectively in June. Since then, headline and core inflation have risen to 52.2 percent and 42.6 percent (YoY), respectively in August 2022. Inflation was especially higher in rural areas (58.4 percent) and for lower income deciles.

Spurred primarily by higher global commodity prices, non-oil exports (more than half of which consist of petrochemicals and minerals) and imports expanded by 22 percent and 17 percent (YoY) in nominal terms, respectively in April to July 2022, reaching US$17.2 billion each.

Outlook

In the medium term, GDP growth is expected to be modest if economic sanctions remain in place. Weaker global demand and new competition from Russian discounted oil exports to China are expected to moderate Iran's oil sector expansion. Domestic demand will also be affected by the negative impact of high inflation on consumption and investment. The current account balance is forecast to remain in surplus over the outlook period, supported by oil prices averaging US$90/bbl and higher non-oil exports; a more costly import bill due to higher import prices will nevertheless limit the surplus. The fiscal balance is projected to benefit from the gradual upward trend in oil exports, but the budget deficit is expected to remain above pre-sanctions levels. Inflationary expectations, foreign exchange pressures, and deficit monetization are expected to keep inflation elevated, albeit gradually declining over the outlook period.

Risks to Iran's economic outlook remain significant. Intensified climate change challenges such as more frequent floods, droughts, and dust storms, as well as energy shortages could significantly impact the economic outlook. These challenges coupled with the recent inflationary pressures could add to pressures on the most vulnerable and pose a potential for social tensions, particularly since modest growth is only expected to generate limited job opportunities. Other downside risks relate to renewed COVID-19 outbreaks, further deceleration in global demand, and increasing geopolitical tensions if the JCPOA Vienna talks were to fail. On the upside, the projected growth outlook could be significantly stronger if economic sanctions were to be removed. Higher oil prices could also improve fiscal and external balances further.

TABLE 2 Islamic Republic of Iran / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2019/20	2020/21	2021/22	2022/23e	2023/24f	2024/25f
Real GDP growth, at constant market prices	-2.7	3.3	4.7	2.9	2.2	1.9
Private Consumption	-4.8	0.5	3.9	2.4	1.8	1.5
Government Consumption	-5.8	-0.9	8.3	4.4	3.7	2.7
Gross Fixed Capital Investment	-7.0	3.2	0.0	3.1	2.8	2.6
Exports, Goods and Services	-17.3	-12.8	5.2	6.4	4.3	3.8
Imports, Goods and Services	-32.5	-29.7	24.1	5.0	3.8	3.3
Real GDP growth, at constant factor prices	-2.4	4.1	4.4	2.9	2.2	1.9
Agriculture	9.2	3.2	-2.6	1.4	1.2	1.1
Industry	-9.7	7.8	3.2	3.6	2.3	2.1
Services	-0.2	2.2	6.5	2.7	2.4	2.0
Inflation (Consumer Price Index)	41.2	47.1	40.2	54.8	44.2	39.0
Current Account Balance (% of GDP)	-0.5	-0.4	3.5	3.8	2.8	2.6
Fiscal Balance (% of GDP)	-4.5	-5.8	-5.3	-4.5	-4.7	-5.0
Gross Public Debt (% of GDP)	42.7	44.7	40.8	39.2	39.8	40.3
Primary Balance (% of GDP)	-4.0	-5.3	-4.8	-3.8	-3.8	-4.0
GHG emissions growth (mtCO2e)	-3.4	-4.2	3.3	2.2	1.7	1.5
Energy related GHG emissions (% of total)	65.9	65.6	66.5	66.8	67.1	67.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.